# The world in brief

Catch up quickly on the global stories that matter

Photograph: Reuters

**Donald Trump** said that the Iran war was “close to over” in an interview with Fox Business. The president also wrote on his Truth Social platform that the **Strait of Hormuz** was “opening” after Iran threatened to block shipping in the Gulf and the Red Sea if America continued its blockade. Mr Trump has said that another round of talks could take place within the next two days.

America said that **Israel** and **Lebanon** had agreed to “launch direct negotiations” following trilateral talks in Washington. Israel’s ambassador to America said that Israel and Lebanon were “united in liberating Lebanon” from Hizbullah. The Iran-backed militia has made thinly-veiled threats of a violent coup against the Lebanese government should it try. Meanwhile Israel’s ground assault continued, as did Hizbullah’s rocket attacks on Israel.

**Peter Magyar**, Hungary’s incoming prime minister, said he expects Viktor Orban, the outgoing one, to lift his veto of the European Union’s €90bn ($106bn) loan to **Ukraine** once the Druzhba pipeline is operational. Ukraine has promised to fix the pipeline, which transports oil from Russia into Hungary through its territory, this month. Russian drones damaged it in January. Mr Orban had blamed a “Kyiv-Brussels-Berlin axis” for the attack.

**Bank of America** reported better than expected first-quarter profits of $8.6bn, which is a 17% increase compared with the same period last year. Market volatility caused by the Iran war lifted its equities-trading revenue by 30% to a record $2.8bn. Investment-banking fees also increased by 21%. The bank's share price rose by 3% in early trading.

ASML, a supplier of advanced chipmaking equipment, reported strong first-quarter earnings and raised its revenue forecast for the year to as much as €40bn ($47bn), which would be 22% higher than 2025. The Dutch firm said that rising demand for artificial-intelligence chips, driven by a data-centre investment boom, is outpacing supply. Shares rose by 1.2% on the news, briefly reaching a record high.

The share price of **Hermès**, a luxury-goods firm, fell by 14% after it reported disappointing first-quarter revenue growth. Since the Iran war began sales have declined by 6% in the Middle East, previously the French company's fastest-growing market, as shoppers avoid malls and airports. Sales also fell in Europe, which the firm attributed to fewer tourists visiting Paris and London.

Scott Bessent said **Mr Trump's tariffs** would be restored by July. In February the Supreme Court struck down the president's levies. America's treasury secretary said they would be revived using a rule that allows the government to impose taxes on countries engaging in unfair trade practices. Mr Bessent also said the IMF "overreacted" by cutting its global growth forecast for 2026 in response to the war.

**Figure of the day:** 89%, how much the share price of Ralph Lauren has risen over the past year. Read about how American luxury is booming.

Photograph: Getty Images

## Looking out for more credit cockroaches

As more American banks report earnings this week, including Bank of America and Morgan Stanley on Wednesday, investors will hunt for weakness. They are worried by wobbles in the private-credit market, which lends to riskier corporate borrowers and to which banks have some exposure.

JPMorgan Chase revealed few signs of stress in its earnings on Tuesday. America's largest bank made $16.5bn in net income in the first quarter, a 13% year-on-year increase, driven by strong trading revenue. But its boss, Jamie Dimon, still believes an eventual "credit recession" is inevitable.

In another hopeful sign, the benchmark S&P 500 index has recovered to its level before the Iran war began. But the share prices of many private-credit firms have not. Blackstone, Apollo and Blue Owl, three large lenders, trade at between 20% and 40% lower than at the start of 2026. Banks will need to assure investors that they are at no risk of contagion.

Photograph: Shutterstock

## Little relief for Sudan’s strife

Three years into the country’s civil war, more than 33m people in Sudan require humanitarian assistance; at least 19m face acute hunger. Another 4.5m have fled abroad. The UN estimates that the conflict has set the economy back by decades: average income has fallen to a level not seen since 1992.

On Wednesday’s grim anniversary, officials, including foreign ministers from countries that have been providing aid, are meeting in Berlin to discuss how they can raise funds and expand their humanitarian efforts in Sudan. They are also trying to put pressure on the national army and its adversary, the paramilitary Rapid Support Forces, to come to a truce. The chances of that succeeding are slim. With about two months to go until the rainy season, both sides want to secure gains on the battlefield. Despite three years of bloodshed, neither yet feels it has a compelling reason to make peace.

Photograph: Reuters

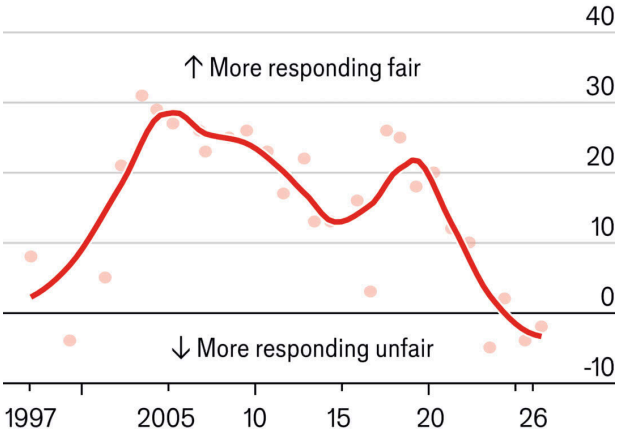
# Tax day in America

April 15th is a date etched in American taxpayers' minds: by Wednesday they are due to file their annual tax return and pay Uncle Sam what they owe. But both Republicans and Democrats seem eager to make the day less painful, hatching plans to fund the government more by squeezing the richest few (the left), or foreigners (with tariffs, the right)—or by widening the already vast budget deficit.

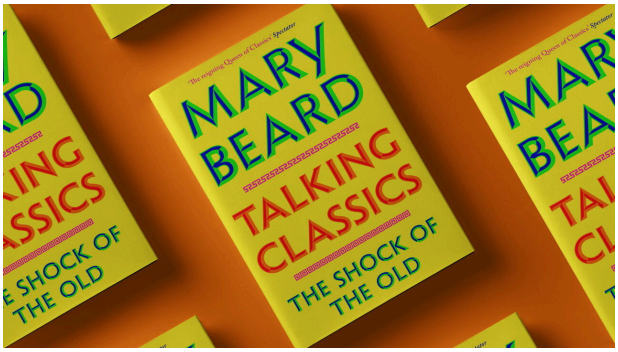
Last year's "One Big Beautiful Bill Act" extended most tax cuts from Donald Trump's first term that were set to expire and added extra goodies, including the notorious "no tax on tips". That enormously popular provision, and growing desperation for cost-of-living support, may be nudging Democrats towards their own tax-cutting ideas. Two moderate senators have released proposals to narrow America's base of income-tax payers. That reflects a recognition that distrust in government—and how it spends taxpayers' dollars—now has deep roots in American politics, from right to left.

## No taxation, full stop

**United States, net share responding their federal income tax is fair, percentage points**




Source: Gallup

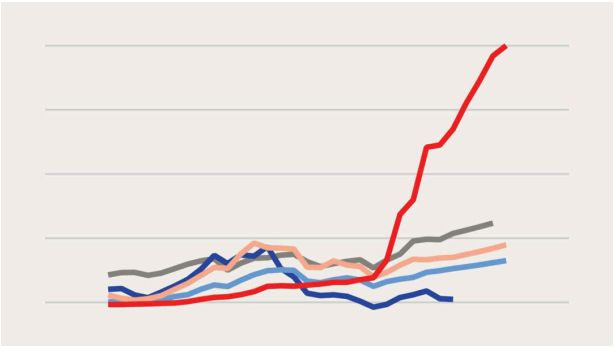


Photograph: Profile Books

# Mary Beard makes her case for classics

Admirers of classics say studying the languages, literature and history of ancient Greece and Rome promotes logical thinking and reveals informative patterns. Nonsense, say its critics. The subject is steeped in whiteness, privilege and colonialism. Mary Beard, Britain's best-known classicist, sets out to defend the subject in a newly published book this week, "Talking Classics". But she shockingly discards most of the traditional arguments for it on page two.

Instead she argues that classics is a good way to understand the relationship between the past and the present: unlike many distant periods in history, it offers plenty of surviving material. It raises thorny issues, around subjects like tyranny and imperialism, that resonate today. And instead of offering simple answers, it poses more complicated questions. So too does Ms Beard. Her pithy, enjoyable book epitomises the kind of thinking that the study of classics aims to encourage.



Photograph:

## Data bite: The tiny state profiting from the war

A country of fewer than 1m people on the edge of South America is one of the Iran war's winners. Since 2019, when Guyana started production in offshore oilfields, its economy has quintupled—the fastest growth globally. If war keeps prices near $100 per barrel in 2026, and the operators of the Stabroek Block field succeed in boosting output by 2.5% to 940,000 barrels a day, Guyana will generate some $33bn in oil revenue this year, three-quarters more than predicted before the war. (Most of the oil goes to Europe, which is paying premiums.) The challenge for Guyanese politicians is to spread the bonanza's benefits and avoid the "resource curse".

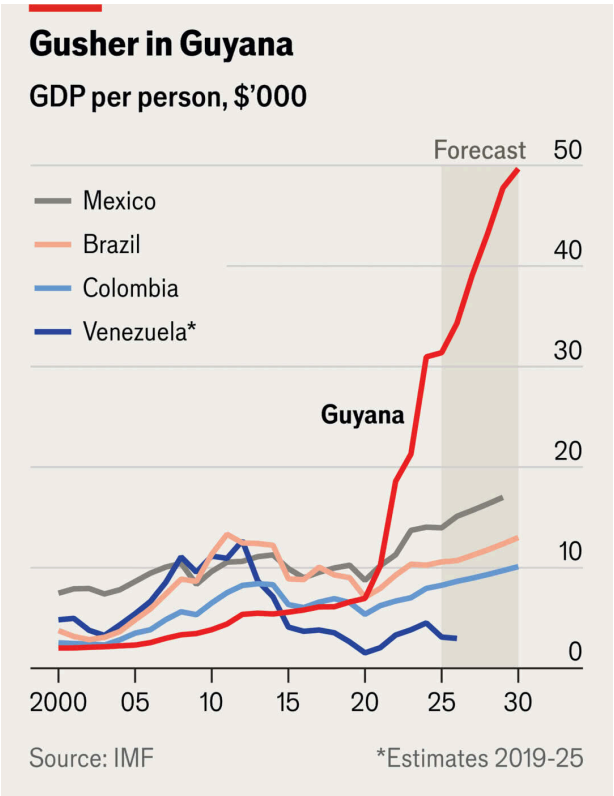

Gusher in Guyana
GDP per person, $'000
Forecast
50
40
30
20
10
0
Mexico
Brazil
Colombia
Venezuela*
Guyana
2000
05
10
15
20
25
30
Source: IMF
*Estimates 2019-25

Illustration: Sandra Navarro

# Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [email protected]. We'll pick three winners at random and crown them on Saturday.

**Wednesday:** Which American actress and film-maker directed the 2026 movie "The Bride!"?

**Tuesday:** Brussels is the capital of which region in Belgium?

*The free thinking of one age is the common sense of the next.*

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***Matthew Arnold***